Talent Under Pressure



Services, the real driver of export growth, is ill-served by the India-US trade deal but does well in other pacts

Services, the sector that forms the backbone of India's trade with America, was absent from the India-US Interim Trade Framework. Yet the total of Indian exports between April and December 2025 were almost evenly split between $330 billion (Rs 29.9 lakh crore) in merchandise and $304 billion (Rs 27.5 lakh cr) in services, led by information technology, consulting and business process management.

Services have been the centrepiece of all the other major trade pacts India has signed in recent months, and each included commitments on professional mobility and cross-border services. The pact with the EU commits to expanded market access in at least 144 services subsectors alongside mobility commitments for professionals and contractual service suppliers.

There is concern that India may be conceding too much on market access for US goods without securing reciprocal gains in services, its strongest suit. As one former commerce secretary put it privately, "We are normalising trade for the last century while ignoring where the next century's value lies."

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Indian IT and consulting firms have also been badly hit by tightening H-1B and L-1 visa rules and tougher eligibility norms. These restrictions have pushed up project costs and delayed deliveries and represent a structural disadvantage for Indian exporters who depend on cross-border staff mobility.

To many, excluding services from the deal looks like surrendering leverage when India needs to negotiate harder on mobility and data access.

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the US to meet this target and accused the Modi government of "surrendering" to the US. Goyal, however, insists the number is calibrated and realistic. "We have done a very careful analysis," he says. "Even today, we import annually $300 billion (Rs 27.2 lakh crore) of these products from around the world, and the need is growing rapidly." He outlines the scale of India's import requirements: energy products, ICT hardware, high-tech semiconductor chips, coking coal, aircraft and precious metals. "In the next five years, we will need to import about $2 trillion (Rs 181.3 lakh crore) worth of these products," he adds.

THE OTHER WORRIES

The uncertainty over agriculture, where the politics of opening India's core agricultural market is highly sensitive, is another significant source of contention. Though the Modi government has repeatedly promised that cereals and other sensitive farm segments are off-limits, experts have voiced sharp concerns that the Indian side has not been explicit enough in the interim document about what is excluded. The full details of the interim agreement with the US are likely to be known only in mid-March.

There are other risks India must worry about in the two deals. Modern trade is no longer just about tariffs but about standards, certifications, product quality, climate-linked rules and the ability of firms, especially small and mid-sized ones, to compete on cost, compliance and speed. "Unfortunately," says trade expert and former JNU professor Biswajit Dhar, "many policymakers still don't recognise that there is a world beyond tariffs, in which developed countries have erected barriers—including Europe's carbon border adjustment mechanism (CBAM)—and insist on environmental and health compliance. We rarely prepare our exporters to meet these stringent requirements." If India signs sophisticated deals without building the capacity to exploit them, the old FTA backlash will return, including rising imports, patchy export gains and political resentment framed as "unfair agreements".

Many Indian firms have been comfortable serving a large domestic market and have not invested enough in global standards. Dhar points out, "The brutal logic of industrial upgrading, such as picking winners, enforcing performance, or demanding scale, has rarely been implemented with discipline in India. It must be done now." In addition, central and state governments must improve ease of doing business, whether by lowering logistics and transaction costs, improving customs facilitation, reducing duties on critical inputs, or unclogging regulatory cholesterol.

A related weakness is innovation. Dhar points out that no manufacturing powerhouse succeeds without sustained investment in R&D, technology upgrading and productivity. If Indian industry is expected to compete under deep FTAs with the EU and other developed markets, it cannot do so with low technology intensity and minimal innovation investment. India's spend on R&D, both public and private, is 0.6 per cent of GDP, whereas China spends 2.5 per cent and the US 4 per cent. India, thus, needs a manufacturing policy that is paired with an innovation policy.

The great opening up, then, is not just about what India negotiates abroad but equally about what it executes at home. The opportunity is unprecedented. If India uses it to upgrade manufacturing, diversify exports and embed itself in global value chains, the gains could be as transformative as the 1991 economic reforms. ■